

stocks are not illiquid (easily transactable at any time). That means, even if there is a stock market crash, it should not be too difficult to find buyers for them. This also means you can get out even at the worst situations and salvage some face (*although traditional wisdom conveys that during a crash you should invest more than usual so that you can profit when the prices bump again*). This index combines reasonable stability, with reasonable growth profitability.



These are the closing prices in log scale (Source: NSE) of the Nifty Next 50 and Nifty 50. Notice that during the 2008 crash, the Nifty Next 50 fell much more and later, grew much higher than the Nifty 50. One inference from the graph is that investing in Nifty Next 50 is a bumpy ride - a necessary evil to beat inflation in the long-term.

Why choose a passively managed index and not active funds?

- If you see the performance graphs, funds that track the Nifty Next 50 have had an impressive record. Over the last three years (at the time of writing), the ICICI Nifty Next 50 Fund Direct Plan has bettered 110 funds in the multi-cap category of 128 funds (Source: Value Research). The ICICI Nifty Next 50 Fund Direct Plan has *passively* beat 100+ actively managed funds! Impressive, if not incredible! A few actively managed funds might have beat the index in the past but consistent human excellence is rare.
- There is a much older index fund that tracks the Nifty Next 50 – the R*Shares Junior BeES (formerly Goldman Sachs Junior BeEs). This is an exchange traded fund. Here, one can buy an unit of the